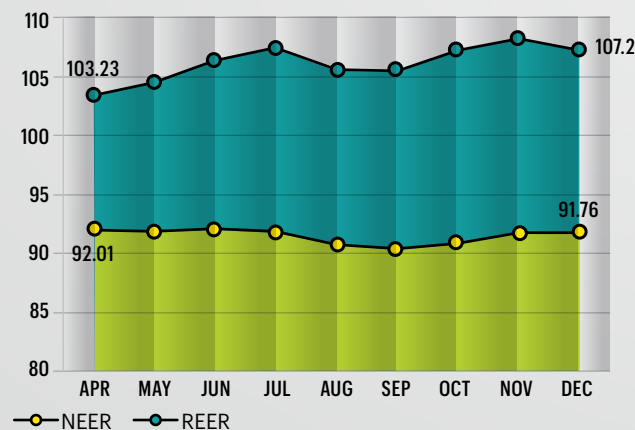


OVERVALUED

• The real effective exchange rate (REER) for the rupee was above 100 till December, indicating that it was overvalued



NEER IS NOMINAL EFFECTIVE EXCHANGE RATE
SOURCE ECONOMIC SURVEY, RBI



“The problem is that if you keep selling [dollars], how much can you sell, especially if it’s being caused by an external factor like the

dollar strengthening? I can keep selling dollars, today it will stabilise. Tomorrow again, it will start falling. How much can the RBI sell?”

MADAN SABNAVIS

CHIEF ECONOMIST AT BANK OF BARODA

bonds (FCCBs), which could affect companies with significant foreign currency exposure. Besides, firms might reconsider plans to raise funds overseas.

India’s external debt reached a record high of \$711.8 billion in September 2024, up 4.3% from \$682.19 billion in June. The figure was around \$455.92 billion a decade ago, according to CMIE Economic Outlook. Data from ACE Equity reveals that at least nine listed companies currently hold outstanding FCCBs totaling \$1.8 billion, which are set to mature in 2025.

POLICY RESPONSE

This brings up a critical question: should the RBI intervene to stabilise the rupee, or should it allow market forces to determine its value? The central bank typically intervenes by selling dollars and buying rupees, reducing liquidity in the banking system.

Apart from direct intervention in the forex market, the RBI has also taken other measures to stem the fall. For instance, in January 2025, it liberalised certain regulations under the Foreign Exchange Management Act, 1999, such as allowing non-resident Indians to open Special Non-Resident Rupee Account for current and capital account transactions with Indian residents as well as permitting transfer of funds for all bona fide

transactions between repatriable rupee accounts.

The recently concluded MPC, however, did not make any specific announcements regarding the rupee, which also left analysts surprised. “The RBI policy meeting was somewhat underwhelming for the INR, with no measures to encourage capital inflows and the RBI reiterating its standard language on foreign exchange,” noted a report by Nomura.

Policy watchers in New Delhi note that while the Finance Ministry and the Commerce Ministry have been monitoring the depreciation in the rupee, the need for a multi-pronged strategy to arrest its impact has not been felt for now. The key concern remains inflation, which has remained above the RBI’s 4% target. Apart from petroleum products, several food items, including edible oil and pulses, are imported and a weaker rupee could fuel inflation in these items.

Commerce and Industry Minister Piyush Goyal noted that the depreciation of the rupee does not necessarily help the Indian economy. “Depreciation is a bad thing. We believe that in the long run, we must focus on a stronger currency because we are still an import-dependent country,” he said at the India Today-Business Today Budget Round Table 2025.

But too much intervention by the RBI can tighten